

Clause 4.1

Licensee's Obligation to Supply

4 cases, chronological:

SCJ-012 Chandra Prakash Gupta v. State of U.P. & 3 Others **2014**

SCJ-229 Smt. Soni Dwivedi v. Madhyanchal Vidyut Vitran Nigam Ltd. thru. its Chairman & Ors. **2016**

SCJ-248 Kalawati Rana v. U.P. Power Corporation Ltd. Thru its M.D./Chairman and Another **2017**

SCJ-006 Anand Kumar v. State of U.P. & 2 Others **2023**

Chandra Prakash Gupta v. State of U.P. & 3 Others

Allahabad High Court · Division Bench · 23 January 2014 · WRIT - C No. 4606 of 2014 · **Writ petition disposed of (auction-purchaser may apply on furnishing a No-Dues Certificate)**

HEADNOTE

The pre-2005 rule that, absent any statutory provision, an auction-purchaser applying for a fresh connection cannot be fastened with the previous owner's electricity dues (*Ahmedabad Electricity Co. v. Gujarat Inns*, 2004) is displaced by Clause 4.1 of the U.P. Electricity Supply Code, 2005, promulgated after 2004, which now statutorily bars a new connection on premises with arrears unless a No-Dues Certificate is furnished. A SARFAESI auction-purchaser must therefore obtain a No-Dues Certificate before a fresh connection is released.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.1

Auction-purchaser and arrears — the Code as the missing statutory provision

QUESTION

Does the pre-Code rule exempting an auction-purchaser from a previous owner's dues survive the introduction of Clause 4.1 of the 2005 Code?

HOLDING

No. *Ahmedabad Electricity Co. v. Gujarat Inns* turned on the absence of a statutory provision; Clause 4.1 of the 2005 Code (promulgated after that 2004 decision) now supplies one, requiring a No-Dues Certificate before a fresh connection on premises where ownership has changed and arrears exist. A SARFAESI auction-purchaser is bound by it and may obtain a connection only on furnishing a No-Dues Certificate. ¶ 1-3

LIMITING FACTS

The petitioner was an auction-purchaser under the SARFAESI Act from the State Bank of India, seeking a fresh domestic connection and claiming no liability for the erstwhile owner's dues.

PRINCIPLE TAGS

arrears-run-with-the-premises

The 2005 Code creates the statutory charge that the pre-Code case law lacked: an auction-purchaser cannot escape the previous owner's arrears and must furnish a No-Dues Certificate for a fresh connection. Lead authorities: *Ahmedabad Electricity Co. Ltd. v. Gujarat Inns Pvt. Ltd.* [28246]. ¶ 2-3

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ahmedabad Electricity Co. Ltd. v. Gujarat Inns Pvt. Ltd. & Ors.</i> AIR 2004 SC 2171 [28246] Supreme Court (Three-Judge Bench)	In the absence of any statutory provision, an auction-purchaser applying for a fresh connection cannot be fastened with the previous owner's electricity dues, and a fresh connection cannot be denied on that ground.	Distinguished — held inapplicable after Clause 4.1 of the 2005 Code supplied the statutory provision it presupposed to be absent. ¶ 2-3	Petitioner	Distinguished

Smt. Soni Dwivedi v. Madhyanchal Vidyut Vitran Nigam Ltd. thru. its Chairman & Ors.

Allahabad High Court · Division Bench · 19 July 2016 · 2016 SCC OnLine All 1675 · Misc. Bench No. 16565 of 2016 · **Writ petition dismissed**

HEADNOTE

A new electricity connection to a purchaser of premises may lawfully be refused until the arrears standing against the erstwhile owner/occupier of those premises are cleared. Clause 4.1 of the U.P. Electricity Supply Code, 2005 obliges the licensee to supply on application, but its third and further provisos provide that where arrears exist on premises whose ownership has changed, a new connection shall be released to the new owner only on a No-Dues Certificate under Clause 4.3(f), and that a new connection shall not be released to a new applicant on the same premises while arrears subsist. The purchaser's reliance on *Isha Marbles* was rejected: that decision arose under the Electricity Act, 1910 read with the Bihar and Orissa Public Demands Recovery Act, 1914 (auction-purchaser context), whereas here the 2005 Code governs the field and makes clearing the previous dues a condition precedent to a new connection. The petitioner's remedy is to enforce the sale deed against the seller; her liability to the department for a new connection is not absolved. Writ dismissed.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.1

Clearing the premises' arrears is a condition precedent to a new connection to a purchaser of the premises

QUESTION

Can a new connection to a purchaser of premises be refused for arrears standing against the erstwhile owner of those premises?

HOLDING

Yes. Though Clause 4.1 obliges the licensee to supply on application, its provisos provide that where ownership of premises has changed and arrears subsist, a new connection is released to the new owner only on a No-Dues Certificate under Clause 4.3(f), and shall not be released to a new applicant on the same premises while arrears remain. The 2005 Code governs the field and makes clearing the previous dues a condition precedent to a new connection; the purchaser's liability to the department is not absolved by a sale-deed clause casting the dues on the seller (which she may enforce against the seller). The refusal was upheld and the writ dismissed. ¶ 4-10

LIMITING FACTS

Purchaser bought the house 'free from all encumbrances' with a sale-deed clause fixing dues on the seller; connection application refused for the erstwhile owner/occupier's dues; new connection (not a mere transfer) sought.

PRINCIPLE TAGS

arrears-follow-premises-not-person-fresh-connection-vs-transfer

A new connection to a purchaser of premises may be conditioned on clearing the previous consumer's arrears on those premises; a sale-deed clause shifting dues to the seller does not absolve the purchaser vis-a-vis the licensee. ¶ 8-9

arrears-run-with-the-premises

Clause 4.1's provisos read with Clause 4.3(f) make a No-Dues Certificate / clearance of the premises' arrears a condition precedent to a new connection on the same premises. ¶ 4-8

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Isha Marbles v. Bihar State Electricity Board</i> (1995) 2 SCC 648 Supreme Court	It is impossible to impose on the (auction-)purchaser a liability which was not incurred by them; an auction-purchaser is not a consumer/occupier under the Electricity Act, 1910 and the	Distinguished: it arose under the Electricity Act, 1910 r/w the Bihar and Orissa Public Demands Recovery Act, 1914 (auction-purchaser context), whereas the 2005 Code governs	Petitioner	Distinguished

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
	previous contracting party's liability cannot be enforced against such a third party.	the present field and makes clearing prior dues a condition precedent to a new connection. ¶ 7-9		

SCJ-229 · Smt. Soni Dwivedi v. Madhyanchal Vidyut Vitran Nigam Ltd. thru. its Chairman & Ors. · 2016 SCC OnLine All 1675 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Kalawati Rana v. U.P. Power Corporation Ltd. Thru its M.D./Chairman and Another

Allahabad High Court · Division Bench · 6 March 2017 · 2017 SCC OnLine All 4594 : (2017) 3 All LJ 267 · Writ C. No. 9766 of 2017 · **Writ petition disposed of; refusal of the new connection upheld, with liberty to obtain a No-Dues Certificate on depositing the erstwhile owner's dues**

HEADNOTE

A new electricity connection to a purchaser of premises may lawfully be refused until the arrears standing against the erstwhile owner of those premises are cleared. Under the third proviso to Clause 4.1 of the U.P. Electricity Supply Code, 2005, where arrears exist on premises whose ownership has changed, a new connection is released to the new owner only on a No-Dues Certificate under Clause 4.3(f). Following the coordinate-bench decision in Pawan Jha and the Supreme Court in PVVNL v. DVS Steels and Haryana SEB v. Hanuman Rice Mills, the Court held that although past dues are not a charge on the premises and cannot be foisted on a transferee as such, the distributor may stipulate clearing the arrears as a condition of a fresh connection to the same premises; a sale-deed clause casting the dues on the seller does not bind the licensee. The refusal was upheld, with liberty to the purchaser to deposit the erstwhile owner's dues and obtain a No-Dues Certificate.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.1

New connection to a purchaser conditioned on a No-Dues Certificate for the premises' arrears

QUESTION

Can a purchaser of premises be refused a new connection for arrears standing against the erstwhile owner of those premises?

HOLDING

Yes. The third proviso to Clause 4.1 provides that where arrears exist on premises whose ownership has changed, a new connection is released to the new owner only on submission of a No-Dues Certificate under Clause 4.3(f). Consistently with PVVNL v. DVS Steels and Haryana SEB v. Hanuman Rice Mills (as applied by the coordinate bench in Pawan Jha), the distributor may stipulate clearing the premises' arrears as a condition of a fresh connection, and an inter-party sale-deed clause fixing the dues on the seller does not bind the licensee. The refusal was upheld, with liberty to deposit the erstwhile owner's dues and obtain a No-Dues Certificate. ¶ 4-12

LIMITING FACTS

Purchaser under a registered sale deed (13.12.2012) with a clause casting electricity dues on the sellers; new connection refused for the sellers' outstanding dues on the same house.

PRINCIPLE TAGS

arrears-follow-premises-not-person-fresh-connection-vs-transfer

Past dues are not a charge on the premises, but a fresh connection to a purchaser may be conditioned on clearing them via a No-Dues Certificate; the sale-deed's inter-party allocation does not bind the licensee. Lead authorities: *Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.* [SCJ-099], *Haryana State Electricity Board v. Hanuman Rice Mills, Dhanauri* [SCJ-031]. ¶ 7-11

arrears-run-with-the-premises

The third proviso to Clause 4.1 r/w Clause 4.3(f) makes a No-Dues Certificate a condition precedent to a new connection on premises carrying arrears. Lead authorities: *Smt. Pawan Jha @ Priya Jha v. State of U.P.* [SCJ-125]. ¶ 5-10

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.</i> (2009) 1 SCC 210 : AIR 2009 SC 647 [SCJ-099] Supreme Court	Past electricity dues are not a charge on the premises and cannot be recovered from a transferee as such, but when the purchaser seeks a fresh connection to the same premises the distributor may stipulate clearing the arrears as a condition of supply; such a stipulation is not unreasonable or arbitrary.	Applied (via the coordinate-bench decision in Pawan Jha) to uphold the refusal pending a No-Dues Certificate. ¶ 7-10	Respondent	Applied
<i>Haryana State Electricity Board v. Hanuman Rice Mills, Dhanauri</i> (2010) 9 SCC 145 : AIR 2010 SC 3835 [SCJ-031] Supreme Court	Electricity arrears are not a charge on the property, but where statutory rules or statutory terms and conditions of supply authorise it, the supplier may demand the previous owner's arrears from a purchaser claiming a fresh/re-connection.	Applied; the U.P. Code (unlike the position in Haryana) contains express rules enabling recovery, so the refusal was justified. ¶ 8-10	Respondent	Applied
<i>Smt. Pawan Jha @ Priya Jha v. State of U.P.</i> (2011) 5 All WC 5176 [SCJ-125] Allahabad High Court (Division Bench)	There is no basic difference between a private sale and a development-authority allotment for arrears purposes; applying DVS Steels and Hanuman Rice Mills, the licensee may insist on clearance of the premises' arrears before a fresh connection.	Followed as a binding coordinate-bench interpretation of Clause 4.1/4.3(f). ¶ 7-10	Court	Followed

SCJ-248 · Kalawati Rana v. U.P. Power Corporation Ltd. Thru its M.D./Chairman and Another · 2017 SCC OnLine All 4594 : (2017) 3 All LJ 267 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Anand Kumar v. State of U.P. & 2 Others

Allahabad High Court · Division Bench · 17 February 2023 · WRIT - C No. 32847 of 2022 · **Writ petition disposed of (direction to process the tenant's connection application)**

HEADNOTE

Under the U.P. Electricity Supply Code, 2005 a 'premises' (Clause 2(ss)) is the specific portion for which a connection is sought, and a tenant is an 'occupier' (Clause 2(oo)) with a statutory right to apply for supply. The arrears-bar in the third proviso to Clause 4.1 operates only against dues on the same premises; by Clause 4.3(h) a licensee cannot refuse a new connection to an occupier of a distinct sub-premises on the ground that dues on other portions of the building are unpaid, and must instead pursue the defaulters under Clause 4.3(f)(v). A tenant may obtain a connection on an indemnity bond (Annexure 4.2, Clause 4.4) where the owner's consent is absent.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.1

Arrears-bar is premises-specific; connection to a tenant/occupier of a distinct premises

QUESTION

Can a licensee refuse a new connection to a tenant of a shop because of electricity dues outstanding against other portions of the same building?

HOLDING

No. The arrears-bar in the third proviso to Clause 4.1 applies only to dues on the same 'premises' (Clause 2(ss)); the shop is a distinct premises and the tenant is an 'occupier' (Clause 2(oo)) entitled to apply. Clause 4.3(h) forbids refusal on the ground of dues on other portions; the licensee must instead pursue the defaulters under Clause 4.3(f)(v). ¶ 11, 14, 16-18

LIMITING FACTS

No dues were specific to the shop occupied by the petitioner; the alleged dues were against other persons/portions of the building.

HOLDING-UNIT · UP-2005::4.4

Tenant's connection on an indemnity bond absent owner's consent

HOLDING

Following *Seema Mansoor*, an occupier (including a tenant) has a statutory right to supply under Sections 42-43 read with Clause 4.4; where the owner's consent is unavailable, the tenant may file an indemnity bond (Annexure 4.2) to obtain the connection. ¶ 12

PRINCIPLE TAGS

arrears-bar-is-premises-specific The bar on a new connection for arrears attaches only to the specific premises in default, not to other portions of a building. ¶ 11, 17

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — LANDLORD-TENANT RELATIONSHIP

The Court expressly declined to record any finding on the landlord-tenant relationship; the direction is only to process the connection application after hearing the owner. ¶ 19-20

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Seema Mansoor v. U.P. Power Corporation & 3</i>	An occupier (including a tenant) has a statutory right under Sections 42-	Followed and relied on to hold the tenant entitled to have the	Court	Followed

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Others</i> 2014 (6) ADJ 672 [80741415] Allahabad High Court	43 and Clause 4.4 of the Code to apply for and obtain supply; where the owner's consent is absent, the indemnity-bond route (Annexure 4.2) is available.	application processed. ¶ 12-13		

SCJ-006 · Anand Kumar v. State of U.P. & 2 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Clause 4.3

New Connections — General (arrears / no-dues / transferee)

17 cases, chronological:

SCJ-099 Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. v. M/s DVS Steels & Alloys Pvt. Ltd. & Ors. **2008**

SCJ-225 Raman Ispat (Pvt.) Ltd. & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. & Ors. **2009**

SCJ-063 M/S Rayana Paper Board Industries Ltd. v. U.P. Power Corporation Ltd. & Ors. **2010**

SCJ-125 Smt. Pawan Jha @ Priya Jha v. State of U.P. And Others **2011**

SCJ-129 Sri Piyush Kumar v. State of U.P. Thru' Secretary Lucknow And Others **2012**

SCJ-012 Chandra Prakash Gupta v. State of U.P. & 3 Others **2014**

SCJ-223 Virendra Kumar Mittal v. U.P. Power Corporation Ltd. & 2 Others **2014**

SCJ-007 Anubhav Jaiswal v. State of U.P. & 4 Others **2014**

SCJ-229 Smt. Soni Dwivedi v. Madhyanchal Vidyut Vitran Nigam Ltd. thru. its Chairman & Ors. **2016**

SCJ-245 Mukesh Kumar and 3 Others v. State of U.P. and 4 Others **2017**

SCJ-036 Jitendra Kumar Gupta & Anr. v. State of U.P. & Ors. **2017**

SCJ-248 Kalawati Rana v. U.P. Power Corporation Ltd. Thru its M.D./Chairman and Another **2017**

SCJ-124 Smt. Beena Dubey v. M.D. Kanpur Electricity Supply Co. Ltd. & 4 Others **2017**

SCJ-090 Narendra Singh Panwar v. Pashchimanchal Vidyut Vitran Nigam Ltd. & 2 Others **2023**

SCJ-006 Anand Kumar v. State of U.P. & 2 Others **2023**

SCJ-005 Amir Ahmad v. State of U.P. & 4 Others **2025**

SCJ-054 M/S Dharti Agro Industries Pvt. Ltd. v. The Managing Director, Pashchimanchal Vidyut Vitran Nigam Ltd. & 2 Others **2025**

Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. v. M/s DVS Steels & Alloys Pvt. Ltd. & Ors.

Supreme Court of India · Two-Judge Bench · 7 November 2008 · (2009) 1 SCC 210 · Civil Appeal No. 6565 of 2008 (arising out of SLP (C) No. 14003 of 2007) · **Appeal allowed; High Court order set aside, writ petition of the purchaser-consumer dismissed**

HEADNOTE

This is the foundational Supreme Court authority (cited throughout this corpus's arrears/transferee-liability cluster, e.g. SCJ-090, SCJ-098) on the interplay between the general law of contract and Clause 4.3(g)/(h) of the Electricity Supply Code. Electricity dues do not constitute a 'charge' on the premises; in the absence of a contract to the contrary, a purchaser/transferee cannot be sued or subjected to revenue recovery for a predecessor's electricity dues, since the supply contract binds only the distributor and the consumer with whom it has privity. However, this legal position affords no practical protection to a purchaser seeking a *fresh* connection: the distributor may lawfully stipulate, as a condition for supplying electricity to the premises (fresh connection or reconnection), that the predecessor's arrears be cleared first — such a stipulation (e.g. Clause 4.3(g)/(h), requiring pro-rata clearance of dues on a legally sub-divided property before a new connection is given) is not unreasonable or arbitrary and is a legitimate safeguard against consumers absconding via property transfer to evade dues. A consumer who voluntarily pays such pro-rata dues as a condition for a fresh connection, before any injunction restrains the demand, cannot later claim a refund merely because a regulatory Commission subsequently directs the distributor not to demand further such payments from future connection-seekers, absent an express refund direction; the amount is refundable only if the original consumer's disputed liability is ultimately negated or actually cleared.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(g)

Electricity dues are not a charge on the premises and cannot be recovered from a transferee absent contract/stipulation, but a distributor may lawfully condition a fresh connection to a sub-divided plot on pro-rata clearance of the predecessor's arrears

QUESTION

(a) Can a distributor recover a predecessor-consumer's electricity dues from a purchaser of (part of) the premises by suit or revenue recovery? (b) Can the distributor instead condition the grant of a fresh connection to the purchaser on pro-rata clearance of those dues? (c) Is a purchaser who voluntarily paid such pro-rata dues (before any injunction) entitled to a refund once a Commission later directs the distributor not to demand such payments from future applicants?

HOLDING

(a) No — electricity dues do not constitute a charge on the premises; a transferee with no privity of contract cannot be sued or subjected to revenue recovery for a predecessor's dues, absent a contract to the contrary. (b) Yes — this legal position affords no practical protection to a purchaser seeking a fresh connection: the distributor may validly stipulate, as a condition for supply, that a predecessor's arrears (or, for a legally sub-divided property, the pro-rata share under Clause 4.3(g)/(h)) be cleared first; such a condition is not unreasonable or arbitrary and legitimately protects the distributor against consumers evading dues by selling and relocating. (c) No — the purchaser here voluntarily paid the pro-rata dues as a condition for connection before any Commission order or injunction; a subsequent Commission direction restraining the distributor from *demanding* such payments from future applicants (issued because the predecessor furnished a bank guarantee for its disputed liability) did not itself direct refund of amounts already paid, and the purchaser — having paid pursuant to its own undertaking to obtain connection — is estopped from reclaiming it except on the agreed terms (i.e., refundable only if the predecessor's liability is ultimately negated or the predecessor actually clears the dues). ¶ paras 8-14

LIMITING FACTS

The third respondent (original consumer) disputed a supplementary bill of Rs. 105.78 lakh (HV1-vs-HV2 tariff dispute) in pending litigation; it later sub-divided its plot into 129 smaller plots and sold one to the first respondent, who was granted a fresh connection conditioned on paying Rs. 8,63,451 (pro-rata dues), which it paid under an undertaking to refund if the underlying dispute were resolved in the original consumer's favour. The Regulatory Commission later directed the distributor to accept a bank guarantee from the original consumer and release future connections to other

plot-purchasers without further pro-rata demands; the first respondent then sought a refund of its already-paid amount, which the High Court granted but the Supreme Court reversed.

PRINCIPLE TAGS

arrears-run-with-the-premises The foundational SC statement of the doctrine underlying this corpus's arrears/transferee-liability cluster (K.C. Ninan/SCJ-037 line, and later applied/qualified in SCJ-054, SCJ-063, SCJ-090, SCJ-098): dues are not a charge on the property in the absence of a stipulation, but a distributor may lawfully condition supply/reconnection on clearance of a predecessor's dues via Clause 4.3(g)/(h)-type provisions, without that being arbitrary or unreasonable.

¶ paras 9-11

voluntary-payment-under-undertaking-not-refundable-absent-express-direction A consumer who voluntarily pays disputed dues as a condition for obtaining a benefit (here, a fresh connection), pursuant to its own undertaking, cannot later claim a refund based on a subsequent regulatory order that merely restrains future demands, absent an express refund direction — the payment remains refundable only per the terms of the original undertaking. ¶ paras 13-14

SCJ-099 · Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. v. M/s DVS Steels & Alloys Pvt. Ltd. & Ors. · (2009) 1 SCC 210 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Raman Ispat (Pvt.) Ltd. & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. & Ors.

Allahabad High Court · Division Bench · 4 September 2009 · 2009 SCC OnLine All 1064 · Civil Misc. Writ Petition No. 27290 of 2008 (with W.P. Nos. 16147 of 2009 and 16149 of 2009) · **All three connected writ petitions dismissed with costs**

HEADNOTE

Where a purchaser of premises seeks a fresh electricity connection or enhancement of load to the same premises, the distributor may lawfully stipulate, as a condition of supply, the clearing of the arrears left by the previous consumer of those premises. Although past electricity dues are not a charge on the premises and a transferee/subsequent occupant with no privity cannot be saddled with a predecessor's dues (*Isha Marbles; Ahmedabad Electricity Co.*), the Supreme Court in *PVVNL v. DUS Steels* held that when the purchaser approaches the distributor for a fresh connection or enhanced load to the same premises, the distributor can stipulate payment of the arrears as a condition, and such a stipulation is neither unreasonable nor arbitrary; the amended Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005 further makes seller and purchaser jointly and severally liable and the outstanding dues a first charge on the company's assets. On the facts, the Court, lifting the corporate veil, found R.P. Singh to be the person behind M/s Sai Steels, M/s Singh Alloys and the petitioner M/s Raman Ispat, and held that the recovery of Sai Steels' dues could be made a condition precedent to enhancement of Raman Ispat's load; the petitioners, having spun a web of acquisitions and name-changes and not come with clean hands, were denied relief and the petitions dismissed with costs.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

Clearing predecessor's arrears may be stipulated as a condition of a fresh connection / load enhancement to the same premises

QUESTION

May a distributor require the purchaser of premises to clear the previous consumer's arrears as a condition of a fresh connection or enhancement of load to the same premises?

HOLDING

Yes. Following *PVVNL v. DUS Steels*, though past dues are not a charge on the premises and cannot be recovered from a transferee as such, the distributor may, when the purchaser seeks a fresh connection or enhanced load to the same premises, stipulate clearing of the arrears as a condition of supply; such a stipulation is not unreasonable or arbitrary. The amended Clause 4.3(f)(i) reinforces this by making the seller and purchaser jointly and severally liable for the outstanding dues and making those dues a first charge on the company's assets, entered in the agreement with the new applicant. ¶ (pp. 505-508)

LIMITING FACTS

Petitioner sought enhancement of Raman Ispat's contracted load; the licensee required clearance of M/s Sai Steels' arrears on the same industrial plot as a condition; amended Clause 4.3(f)(i) was not challenged.

INTERPLAY · UP-2005::4.3(f)

Lifting the corporate veil to fix arrears liability where the same person controls the defaulting and the applicant entities

QUESTION

Can the corporate veil be lifted to hold the applicant liable for the defaulting entity's dues where a common controlling person has used a web of acquisitions and name-changes to escape recovery?

HOLDING

Yes. The department was justified in lifting the veil and finding R.P. Singh to be the person behind M/s Sai Steels (the defaulter), M/s Singh Alloys and the petitioner M/s Raman Ispat, so that the dues of Sai Steels could be recovered from him and made a condition precedent to enhancement of Raman Ispat's load. The petitioners failed to prove the absence of relationship between the entities, withheld material facts to obtain an interim order, and did not come with clean hands; all three petitions were dismissed with costs. ¶ (pp. 509-512)

LIMITING FACTS

Common directors/partners; adjoining industrial plots; property routed through a PICUP auction (s.29, State Financial Corporations Act, 1951) and successive sale deeds back into the petitioner-company controlled by the same person; deed of dissolution and change of partners never produced.

PRINCIPLE TAGS

arrears-follow-premises-not-person-fresh-connection-vs-transfer Past dues are not a charge on premises and cannot be foisted on a mere transferee, but a distributor may stipulate clearance of arrears as a condition of a fresh connection or load enhancement to the same premises. Lead authorities: *Pashchimanchal Vidyut Vitran Nigam Ltd. v. DUS Steels & Alloys Pvt. Ltd.* ¶ (pp. 507-508)

arrears-run-with-the-premises Under the amended Clause 4.3(f)(i), clearing the outstanding dues on the premises is a condition of a fresh connection/enhancement, the dues being a first charge on the company's assets and seller and purchaser jointly and severally liable. ¶ (pp. 505-506)

lifting-corporate-veil-to-fix-arrears-liability Where a common controlling person uses a web of firms/companies and acquisitions to escape recovery, the veil may be lifted to hold the applicant entity liable for the defaulter's arrears as a condition of supply. ¶ (pp. 510-512)

no-relief-to-litigant-without-clean-hands A petitioner who withholds material facts and obtains an interim order by painting a false picture is not entitled to discretionary relief. ¶ (p. 512)

NOT DECIDED — NEGATIVE AUTHORITY**NOT DECIDED — APPLICABILITY OF THE AMENDED CLAUSE 4.3(F)(I) TO A STATUTORY AUCTION SALE BY A FINANCIAL CORPORATION PRIOR TO 11.8.2006**

The petitioner argued Clause 4.3(f)(i) (in force 11.8.2006) did not apply to the earlier PICUP sale under the State Financial Corporations Act, 1951, but the petitions failed on the veil-lifting and clean-hands findings and the point was not decided in the petitioner's favour. ¶ (pp. 507-508)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Pashchimanchal Vidyut Vitran Nigam Ltd. v. DUS Steels & Alloys Pvt. Ltd.</i> JT 2008 (12) SC 672 (decided 7.11.2008) Supreme Court	Supply of electricity is a sale of goods; a transferee/subsequent occupant with no privity cannot be asked to pay a predecessor's dues as the amount is not a charge on the premises, but when the purchaser seeks a fresh connection or enhanced load to the same premises the distributor may stipulate clearing of the past dues as a condition of supply, and such a stipulation is neither unreasonable nor arbitrary.	Relied on to uphold the licensee's stipulation of clearing Sai Steels' arrears as a condition of enhancing Raman Ispat's load to the same premises. ¶ (p. 508)	Respondent	Relied on
<i>Isha Marbles v. Bihar State Electricity Board</i> (1995) 2 SCC 648 Supreme Court	It is impossible to impose on an auction-purchaser (a third party with no privity with the previous consumer) a liability for the electricity dues incurred by the previous owner/occupier.	Cited by the petitioner for the proposition that past dues cannot be enforced against a subsequent purchaser; distinguished/limited in light of DUS Steels where a fresh connection/enhancement to the same premises is sought. ¶ (pp. 506-508)	Petitioner	Distinguished
<i>Ahmedabad Electricity Co. Ltd. v. Gujarat Inns (P) Ltd.</i> (2004) SCC 587 (as cited) Supreme Court	Past electricity dues are not a charge over the property; the auction-purchaser may seek supply of energy without being saddled with the previous owner's dues.	Cited by the petitioner alongside <i>Isha Marbles</i> ; not applied to defeat the licensee's stipulation given DUS Steels. ¶ (pp. 506-507)	Petitioner	Distinguished

M/S Rayana Paper Board Industries Ltd. v. U.P. Power Corporation Ltd. & Ors.

Allahabad High Court · Division Bench · 8 January 2010 · Misc. Bench No. 5533 of 2009 · **Writ petition allowed; recovery citation against the purchaser quashed (liberty to proceed against the original owner)**

HEADNOTE

Clause 4.3(ii)-(iii) of the U.P. Electricity Supply Code, 2005 obliges a vendor to clear outstanding electricity dues before selling premises (or disclose them in the sale deed) and allows a purchaser who has not obtained a no-dues certificate to apply for one, with the licensee bound to disclose pending dues or issue the certificate within 30 working days. This creates a leverage for the licensee to withhold a new electricity connection to the premises (or refuse to transfer the existing one) until the outstanding dues are cleared, but does not by itself authorise coercive RECOVERY of the previous owner's dues from the purchaser as arrears of land revenue — such coercive recovery against a person who never consumed the electricity requires an express enabling statutory/Code provision, absent which the licensee's remedy is confined to withholding a fresh connection, and it must pursue recovery against the original defaulting consumer.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3

Clause 4.3(ii)-(iii) supports withholding a fresh connection pending dues, but does not by itself authorise coercive recovery of the previous owner's dues from a purchaser who never held the connection

QUESTION

Where an industrial land parcel is transferred by sale deed and the transferor's electricity dues remain unpaid, can the licensee issue a recovery citation (coercive recovery as arrears of land revenue) directly against the purchaser-transferee, who never held the electricity connection or consumed the electricity, relying on Clause 4.3(ii)-(iii) of the Supply Code?

HOLDING

No. Clause 4.3(ii) obliges the vendor to clear outstanding dues before sale (or disclose them in the sale deed), and Clause 4.3(iii) allows the purchaser to seek a no-dues certificate, with the licensee bound to disclose pending dues or issue the certificate within 30 working days; the Code does not, however, contain any penal/recovery provision empowering the licensee to coercively recover the vendor's dues from the vendee. In the absence of a provision enabling such recovery, the licensee's right is confined to withdrawing/declining the electricity connection to the premises (i.e. refusing a fresh connection until dues are cleared, consistent with *Dakshin Haryana Bijli Vitran Nigam Ltd. v. Paramount Polymers Pvt. Ltd.*) — it cannot issue a coercive recovery citation against the purchaser for dues never incurred by the purchaser. The impugned recovery citation was quashed, with liberty to recover from the original owner (who, moreover, already had a pending dispute before the Electricity Ombudsman over the same dues).

¶ unnumbered order

LIMITING FACTS

The transferor sold a portion of its industrial land to the petitioner by registered sale deed (14.9.2006); the licensee, without any electricity connection in the petitioner's name, issued a recovery citation for Rs. 25,36,000 against the petitioner for dues incurred by the transferor, whose dispute over those very charges was pending before the Electricity Ombudsman.

FLAG An early (2010) ruling in the arrears/transferee cluster (cf. SCJ-005/012/031/036/037/054), drawing a distinction between (a) withholding a NEW connection pending dues (permissible leverage) and (b) coercive RECOVERY of the previous owner's dues from a non-consumer transferee (requires an express enabling provision). This narrower point about the mode of enforcement may retain force even after *K.C. Ninan* (SCJ-037) recognised that a Supply Code condition CAN create a statutory charge enabling recovery from a transferee where the Code so expressly provides.

PRINCIPLE TAGS

arrears-run-with-the-premises Refines the cluster: absent an express Code provision authorising coercive recovery from a transferee, the licensee's leverage over unpaid dues on a transferred premises is limited to withholding a fresh connection

(Clause 4.3), not issuing a land-revenue-style recovery citation against the non-consumer purchaser. Lead authorities: *Dakshin Haryana Bijli Vitran Nigam Ltd. v. M/s Paramount Polymers Pvt. Ltd.*. ¶ **unnumbered order**

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Dakshin Haryana Bijli Vitran Nigam Ltd. v. M/s Paramount Polymers Pvt. Ltd.</i> AIR 2007 SC 2 Supreme Court	Where the Terms and Conditions of Supply validly condition a fresh/reconnection on clearing a previous consumer's arrears on the premises, a purchaser cannot invoke Isha Marbles to obtain a fresh connection without clearing those arrears; but the arrears remain tied to the premises/reconnection process, with any transferee payment adjusted against (and refundable if later recovered from) the original defaulter.	Relied on for the proposition that the licensee may withhold a fresh connection pending dues, but distinguished to the extent it does not authorise coercive recovery from the transferee outside the connection process. ¶ unnumbered order	Respondent	Distinguished

Smt. Pawan Jha @ Priya Jha v. State of U.P. And Others

Allahabad High Court · Division Bench · 26 May 2011 · Civil Misc. Writ Petition No. 30263 of 2011 · **Writ petition disposed of; recovery from petitioner upheld subject to moulded relief (installments and time-bound connection), with liberty to proceed against the erstwhile occupier separately**

HEADNOTE

Applying the DVS Steels/Hanuman Rice Mills doctrine (this corpus, SCJ-099) to a novel fact pattern, a subsequent allottee of premises under an Allahabad Development Authority (ADA) EWS-flat allotment stands in no materially different position than a private purchaser of premises: where the erstwhile occupier/owner left electricity dues unpaid, the licensee is entitled to insist on clearance of those arrears (or a portion thereof through equitable moulding) as a condition of releasing a fresh connection to the new allottee, since the liability attaches to the premises/connection rather than merely to the departed consumer personally. The new allottee is not without remedy — she may independently pursue recovery of any amount she is compelled to pay from the erstwhile occupier/owner through appropriate proceedings — but cannot resist the licensee's demand as a precondition to obtaining a fresh connection. Equitable relief moulding (permitting phased/installment payment and mandating a time-bound connection upon initial part-payment) is appropriate to balance the licensee's revenue-recovery interest against the hardship of an incoming allottee with no personal fault.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3

An ADA EWS-flat allottee is not distinguishable from a private purchaser for purposes of the arrears-liability doctrine: pre-existing dues of the erstwhile occupier may lawfully condition the grant of a fresh connection to the new allottee, subject to equitable moulding

QUESTION

Can the licensee insist that a subsequent allottee of an ADA-allotted EWS flat clear the erstwhile occupier's unpaid electricity dues (Rs. 45,625) as a precondition to obtaining a fresh connection, notwithstanding that the allottee had no role in incurring those dues and her allotment arose through a statutory development authority rather than a private sale?

HOLDING

Yes, applying the DVS Steels Ltd. v. U.P. Power Corporation Ltd. (SCJ-099) and Hanuman Rice Mills doctrine that arrears follow the premises/connection and not merely the person of the departed consumer, an ADA-allotment context is not meaningfully distinguishable from a private purchase for this purpose; the licensee may insist on clearance of dues as a precondition to a fresh connection. However, exercising equitable jurisdiction, the Court moulded relief: the petitioner was permitted to deposit the outstanding amount in three equal monthly installments, with the licensee directed to release the electricity connection within 72 hours of the first installment being deposited, and the petitioner was given liberty to pursue recovery of any amounts paid from the erstwhile owner/occupier through appropriate independent proceedings. ¶ [unnumbered order \(full text\)](#)

LIMITING FACTS

The petitioner was allotted an EWS flat by the Allahabad Development Authority; the erstwhile occupier had left unpaid electricity dues of Rs. 45,625 on the premises' connection; the licensee refused a fresh connection to the petitioner absent clearance of those dues.

PRINCIPLE TAGS

arrears-follow-premises-not-person-ada-allotment-context Extends the DVS Steels/Hanuman Rice Mills arrears-transferor-liability doctrine (SCJ-099) from private-sale/purchase contexts to a statutory development-authority (ADA) EWS-flat allotment, holding the two contexts are not meaningfully distinguishable; part of this corpus's broader arrears/occupant-liability cluster (SCJ-090, SCJ-098, SCJ-124). Lead authorities: *Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.* [74832153]. ¶ [unnumbered order](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — PETITIONER'S RECOVERY OF THE PAID AMOUNT FROM THE ERSTWHILE OWNER/OCCUPIER

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.</i> (2009) 1 SCC 210 [74832153] Supreme Court	Arrears of electricity dues attach to the premises/connection and may condition a fresh connection to a subsequent transferee, subject to equitable relief.	Applied to extend the doctrine to an ADA statutory-allotment context.	Court	Followed
<i>Haryana State Electricity Board v. Hanuman Rice Mills</i> [1336616]	Same arrears-follow-premises doctrine applied in the rice-mills line of cases.	Applied alongside DVS Steels as controlling authority.	Court	Followed

SCJ-125 · Smt. Pawan Jha @ Priya Jha v. State of U.P. And Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Sri Piyush Kumar v. State of U.P. Thru' Secretary Lucknow And Others

Allahabad High Court · Division Bench · 27 March 2012 · AIR 2012 Allahabad 97 · WRIT - C No. 24623 of 2003 · **Writ petition partly allowed; recovery citation against the petitioner-director quashed; licensee left free to proceed against the company**

HEADNOTE

A company director who signs an electricity supply agreement 'on behalf of the Company' as its agent incurs no personal liability for the company's electricity dues, since a company is an artificial person that can only contract through agents, and the normal mode of signing does not itself impose personal liability on the signing director (Companies Act, 1956, s.46) absent an express personal guarantee, undertaking, or specific statutory provision. Because the demand notice and recovery citation here predated the U.P. Electricity Supply Code, 2005, Clause 4.3(f) of that Code (which for the first time makes outstanding company dues a first charge on the company's assets, permits recovery from directors only where the company's assets are insufficient, and requires the licensee to enter such a stipulation into new agreements) had no application; even applying Clause 4.3(f)(iv)-(v) prospectively, the licensee must first exhaust recovery against the company's assets before proceeding against directors personally, and the record here contained no averment that this had been done.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

A director who signed an electricity supply agreement as agent of the company (not personally) is not liable for the company's electricity dues absent a personal guarantee or specific statutory provision; Clause 4.3(f) of the 2005 Supply Code, which for the first time addresses director liability, did not apply to dues/demand notices predating the Code's notification, and in any event requires exhaustion of company assets before recovery from directors

QUESTION

Can a recovery citation for a company's outstanding electricity dues be enforced personally against a director who signed the original supply agreement as the company's agent (with no personal guarantee or undertaking), where the demand notice and citation both predate the notification of the U.P. Electricity Supply Code, 2005?

HOLDING

No. A company, being an artificial person, acts only through agents; a director signing an agreement 'on behalf of the Company' under s.46 of the Companies Act, 1956 incurs no personal liability unless the Articles/Board resolution otherwise permit, or the director acts beyond his powers, misrepresents, or gives a personal guarantee/undertaking — none of which was shown here. Following this Court's own precedents (*Adesh Kumar Jain v. UPSEB*; *M/s Meekin Transmission Ltd.*), the 'consumer' under the pre-2003 Electric Supply (Consumers) Regulations, 1984 and under s.2(15) of the Electricity Act, 2003 is the company, not its directors personally. The U.P. Electricity Supply Code, 2005 — whose Clause 4.3(f)(iv) first makes outstanding dues a first charge on company assets and whose Clause 4.3(f)(v) permits recovery from directors — was notified after the dues were ascertained and the recovery citation issued, and so had no application; even prospectively, recovery from directors is permissible only after the company's assets prove insufficient to satisfy the dues, and the counter affidavit contained no averment that the licensee had first proceeded against the company's assets. The recovery citation against the petitioner-director was accordingly quashed, without prejudice to recovery proceedings against the company itself. ¶ paras 3-16

LIMITING FACTS

Petitioner, a director of U.P. Lime Chem. Ltd. (a public limited company), signed the original 1990 electricity-supply agreement (335 KVA) as the company's director/agent, without giving any personal guarantee or undertaking; a s.3 U.P. Government Electricity Undertaking (Recovery of Dues) Act, 1958 notice (30.6.2001) and a subsequent recovery citation (8.5.2003) sought Rs. 15,41,685 in company dues directly from the petitioner personally, without any break-up or averment that the company's own assets had first been proceeded against.

PRINCIPLE TAGS

clause-4.3f-director-liability-not-retrospective-and-requires-exhaustion-of-company-assets Establishes that Clause 4.3(f)'s director-liability regime (first-charge-on-company-assets, then directors only if insufficient) does not apply retrospectively to

dues/citations predating the 2005 Supply Code, and requires the licensee to first exhaust recovery against company assets before reaching directors personally — a limiting counterpoint to this corpus's broader arrears/occupant-liability cluster (SCJ-090, SCJ-098, SCJ-124, SCJ-125), here protecting a corporate agent from personal exposure absent an express undertaking. Lead authorities: *Adesh Kumar Jain v. U.P. State Electricity Board, M/s Meekin Transmission Ltd., Kanpur*. ¶ paras 9, 13-14

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE LICENSEE MAY NOW PROCEED AGAINST THE DIRECTOR PERSONALLY AFTER FIRST EXHAUSTING RECOVERY AGAINST THE COMPANY'S ASSETS, PER CLAUSE 4.3(F)(IV)-(V)

Left open; licensee free to proceed against the company (U.P. Lime Chem. Ltd.) in accordance with law. ¶ para 16

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Adesh Kumar Jain v. U.P. State Electricity Board</i> 1998 LBESR-1-677 Allahabad High Court	Directors of a company cannot be made personally liable for the company's electricity dues unless the director gives an undertaking or personal guarantee for recovery from his personal assets.	Followed.	Court	Followed
<i>M/s Meekin Transmission Ltd., Kanpur and another</i> Writ Tax No. 749 of 2003, decided 14.02.2008 Allahabad High Court	Same principle: absent personal guarantee/undertaking, directors are not personally liable for a defaulting consumer-company's dues.	Followed alongside Adesh Kumar Jain.	Court	Followed

Chandra Prakash Gupta v. State of U.P. & 3 Others

Allahabad High Court · Division Bench · 23 January 2014 · WRIT - C No. 4606 of 2014 · **Writ petition disposed of (auction-purchaser may apply on furnishing a No-Dues Certificate)**

HEADNOTE

The pre-2005 rule that, absent any statutory provision, an auction-purchaser applying for a fresh connection cannot be fastened with the previous owner's electricity dues (*Ahmedabad Electricity Co. v. Gujarat Inns*, 2004) is displaced by Clause 4.1 of the U.P. Electricity Supply Code, 2005, promulgated after 2004, which now statutorily bars a new connection on premises with arrears unless a No-Dues Certificate is furnished. A SARFAESI auction-purchaser must therefore obtain a No-Dues Certificate before a fresh connection is released.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.1

Auction-purchaser and arrears — the Code as the missing statutory provision

QUESTION

Does the pre-Code rule exempting an auction-purchaser from a previous owner's dues survive the introduction of Clause 4.1 of the 2005 Code?

HOLDING

No. *Ahmedabad Electricity Co. v. Gujarat Inns* turned on the absence of a statutory provision; Clause 4.1 of the 2005 Code (promulgated after that 2004 decision) now supplies one, requiring a No-Dues Certificate before a fresh connection on premises where ownership has changed and arrears exist. A SARFAESI auction-purchaser is bound by it and may obtain a connection only on furnishing a No-Dues Certificate. ¶ 1-3

LIMITING FACTS

The petitioner was an auction-purchaser under the SARFAESI Act from the State Bank of India, seeking a fresh domestic connection and claiming no liability for the erstwhile owner's dues.

PRINCIPLE TAGS

arrears-run-with-the-premises

The 2005 Code creates the statutory charge that the pre-Code case law lacked: an auction-purchaser cannot escape the previous owner's arrears and must furnish a No-Dues Certificate for a fresh connection. Lead authorities: *Ahmedabad Electricity Co. Ltd. v. Gujarat Inns Pvt. Ltd.* [28246]. ¶ 2-3

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ahmedabad Electricity Co. Ltd. v. Gujarat Inns Pvt. Ltd. & Ors.</i> AIR 2004 SC 2171 [28246] Supreme Court (Three-Judge Bench)	In the absence of any statutory provision, an auction-purchaser applying for a fresh connection cannot be fastened with the previous owner's electricity dues, and a fresh connection cannot be denied on that ground.	Distinguished — held inapplicable after Clause 4.1 of the 2005 Code supplied the statutory provision it presupposed to be absent. ¶ 2-3	Petitioner	Distinguished

Virendra Kumar Mittal v. U.P. Power Corporation Ltd. & 2 Others

Allahabad High Court · Division Bench · 9 May 2014 · 2014 SCC OnLine All 6594 · Writ - C No. 26105 of 2014 · **Writ petition disposed of; new connection to be given on securing the disputed theft-assessment amount**

HEADNOTE

The right to a new electricity connection on deposit of the estimate is independent of a consumer's liability to pay a theft assessment whose liability is still to be determined. Where a theft assessment (28.12.2010) was pending adjudication before the Special Judge (E.C. Act) at the licensee's own instance, the licensee could not, under Clause 4.3 of the U.P. Electricity Supply Code, treat the undetermined theft-assessment amount as an 'outstanding due' so as to refuse a new connection (the CGRF having already directed the connection). Following the Supreme Court in *Dr. Meena Chaudhary v. BSES Rajdhani Power Ltd.*, the Court directed that, on the consumer depositing the estimate and furnishing security (other than cash or bank guarantee) for the disputed theft amount, the new connection be provided; whether the theft assessment is an 'outstanding due' under Clause 4.3 abides the Special Judge's decision.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3

A new connection cannot be withheld for a theft-assessment amount whose liability is undetermined

QUESTION

Can a licensee refuse a new connection under Clause 4.3 for an unpaid theft-assessment amount whose liability is still being adjudicated?

HOLDING

No. The right to supply on deposit of the estimate is independent of the theft-assessment liability, which is still to be fixed by the Special Judge (E.C. Act). The licensee cannot treat the undetermined theft assessment as an 'outstanding due' under Clause 4.3 to refuse the connection; instead the amount is secured by the consumer furnishing security (other than cash or bank guarantee), whereupon the new connection is to be provided. Whether it is an 'outstanding due' under Clause 4.3 abides the Special Judge's decision. ¶ (judgment)

LIMITING FACTS

Theft assessment of 28.12.2010 pending before the Special Judge at the licensee's instance; CGRF had directed the new connection; licensee demanded the theft amount along with the new-connection estimate.

PRINCIPLE TAGS

new-connection-independent-of-undetermined-theft-assessment Supply on payment of the estimate is independent of an as-yet-undetermined theft-assessment liability; the licensee cannot withhold a new connection for such an amount under Clause 4.3, but may take security for it. Lead authorities: *Dr. Meena Chaudhary v. BSES Rajdhani Power Ltd.* ¶ (judgment)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE THEFT ASSESSMENT IS AN 'OUTSTANDING DUE' UNDER CLAUSE 4.3

Abides the Special Judge (E.C. Act)'s determination of the theft liability. ¶ (judgment)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Dr. Meena Chaudhary @ Dr. Meena P.N. Singh v. BSES Rajdhani Power Ltd.</i> Writ Petition (Crl.) No. 103 of 2013 (SC, 25-06-	A consumer's right to a new electricity connection on deposit of the estimate is independent of a disputed/undetermined theft-assessment liability, which cannot be a ground to refuse the connection.	Relied on to hold that the theft-assessment amount could not be demanded as a precondition to the new connection. ¶ (judgment)	Petitioner	Relied on

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
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2013) Supreme Court				
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SCJ-223 · Virendra Kumar Mittal v. U.P. Power Corporation Ltd. & 2 Others · 2014 SCC OnLine All 6594 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Anubhav Jaiswal v. State of U.P. & 4 Others

Allahabad High Court · Division Bench · 27 August 2014 · WRIT - C No. 44867 of 2014 · **Writ petition disposed of (remand for pro-rata determination after notice to the prior owner)**

HEADNOTE

Under Clause 4.3 of the U.P. Electricity Supply Code, 2005 outstanding electricity dues are the first charge on the premises (Clause 4.3(f)(iv)); but where the property has been legally sub-divided, the dues are apportioned pro-rata (Clause 4.3(g)) and a new connection to a sub-divided portion is released on payment only of the share attributable to that portion (Clause 4.3(h)). A subsequent purchaser of part of a premises cannot be saddled with the dues of the entire premises; the licensee must determine the pro-rata share afresh, after notice to the original owner.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(g)

Pro-rata apportionment of arrears on a sub-divided premises

QUESTION

Can a purchaser of part of a sub-divided premises be required to clear the entire premises' electricity dues before a new connection, or only his pro-rata share?

HOLDING

Only his pro-rata share. Though outstanding dues are the first charge on the premises (Clause 4.3(f)(iv)), on a legal sub-division they are apportioned pro-rata (Clause 4.3(g)) and a connection to the sub-divided portion is given on payment of that portion's share alone (Clause 4.3(h)); the licensee cannot demand the whole. The matter is remanded for fresh pro-rata determination after notice to the original owner.

LIMITING FACTS

The premises passed through four successive owners; the petitioner is the fourth purchaser of a part. As he had not furnished full information, the original refusal was not itself faulted, but a Clause 4.3 determination was directed.

PRINCIPLE TAGS

arrears-apportioned-pro-rata-on-subdivision

On a legal sub-division of a premises, outstanding electricity dues are divided pro-rata; a purchaser of a portion is liable only for that portion's share.

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE APPORTIONED SHARE AND THE PETITIONER'S EXACT LIABILITY

Left to fresh determination by the Executive Engineer after notice to the original owner (Islam Beg); no figure was fixed.

Smt. Soni Dwivedi v. Madhyanchal Vidyut Vitran Nigam Ltd. thru. its Chairman & Ors.

Allahabad High Court · Division Bench · 19 July 2016 · 2016 SCC OnLine All 1675 · Misc. Bench No. 16565 of 2016 · **Writ petition dismissed**

HEADNOTE

A new electricity connection to a purchaser of premises may lawfully be refused until the arrears standing against the erstwhile owner/occupier of those premises are cleared. Clause 4.1 of the U.P. Electricity Supply Code, 2005 obliges the licensee to supply on application, but its third and further provisos provide that where arrears exist on premises whose ownership has changed, a new connection shall be released to the new owner only on a No-Dues Certificate under Clause 4.3(f), and that a new connection shall not be released to a new applicant on the same premises while arrears subsist. The purchaser's reliance on *Isha Marbles* was rejected: that decision arose under the Electricity Act, 1910 read with the Bihar and Orissa Public Demands Recovery Act, 1914 (auction-purchaser context), whereas here the 2005 Code governs the field and makes clearing the previous dues a condition precedent to a new connection. The petitioner's remedy is to enforce the sale deed against the seller; her liability to the department for a new connection is not absolved. Writ dismissed.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.1

Clearing the premises' arrears is a condition precedent to a new connection to a purchaser of the premises

QUESTION

Can a new connection to a purchaser of premises be refused for arrears standing against the erstwhile owner of those premises?

HOLDING

Yes. Though Clause 4.1 obliges the licensee to supply on application, its provisos provide that where ownership of premises has changed and arrears subsist, a new connection is released to the new owner only on a No-Dues Certificate under Clause 4.3(f), and shall not be released to a new applicant on the same premises while arrears remain. The 2005 Code governs the field and makes clearing the previous dues a condition precedent to a new connection; the purchaser's liability to the department is not absolved by a sale-deed clause casting the dues on the seller (which she may enforce against the seller). The refusal was upheld and the writ dismissed. ¶ 4-10

LIMITING FACTS

Purchaser bought the house 'free from all encumbrances' with a sale-deed clause fixing dues on the seller; connection application refused for the erstwhile owner/occupier's dues; new connection (not a mere transfer) sought.

PRINCIPLE TAGS

arrears-follow-premises-not-person-fresh-connection-vs-transfer

A new connection to a purchaser of premises may be conditioned on clearing the previous consumer's arrears on those premises; a sale-deed clause shifting dues to the seller does not absolve the purchaser vis-a-vis the licensee. ¶ 8-9

arrears-run-with-the-premises

Clause 4.1's provisos read with Clause 4.3(f) make a No-Dues Certificate / clearance of the premises' arrears a condition precedent to a new connection on the same premises. ¶ 4-8

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Isha Marbles v. Bihar State Electricity Board</i> (1995) 2 SCC 648 Supreme Court	It is impossible to impose on the (auction-)purchaser a liability which was not incurred by them; an auction-purchaser is not a consumer/occupier under the Electricity Act, 1910 and the	Distinguished: it arose under the Electricity Act, 1910 r/w the Bihar and Orissa Public Demands Recovery Act, 1914 (auction-purchaser context), whereas the 2005 Code governs	Petitioner	Distinguished

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
	previous contracting party's liability cannot be enforced against such a third party.	the present field and makes clearing prior dues a condition precedent to a new connection. ¶ 7-9		

SCJ-229 · Smt. Soni Dwivedi v. Madhyanchal Vidyut Vitran Nigam Ltd. thru. its Chairman & Ors. · 2016 SCC OnLine All 1675 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Mukesh Kumar and 3 Others v. State of U.P. and 4 Others

Allahabad High Court · Division Bench · 4 January 2017 · 2017 SCC OnLine All 6 · Writ-C No. 61372 of 2016 · **Writ petition disposed of on a consent arrangement; recovery to proceed first against the company's assets, and against directors only after and subject to the outcome of pending writs; the vires challenge to Clause 4.3(f)(v) kept open**

HEADNOTE

Recovery of a company's electricity dues from its directors under Clause 4.3(f)(v) of the U.P. Electricity Supply Code, 2005 is to be attempted only after exhausting recovery against the company's assets, and any such step against directors abides the outcome of pending writ petitions in which the enforceability of the notices and the vires of Clause 4.3(f)(v) are under challenge. On the parties' agreed arrangement, the Court directed the Corporation first to take all steps to recover from the company (M/s Kumar Casting Pvt. Ltd.), and only if the dues remain unrecovered even after sale of the company's assets to proceed against the directors, after and subject to the disposal of Writ-C Nos. 39095 of 2015 and 8370 of 2016; the petitioners' contentions, including the challenge to Clause 4.3(f)(v) and the definition of 'consumer' in Section 2(15) of the Electricity Act, 2003, were kept open.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

Director liability sequenced after recovery from company assets; vires challenge left open

QUESTION

Can the licensee recover a company's dues from its directors under Clause 4.3(f)(v) while the enforceability and vires of that clause are sub judice?

HOLDING

On the agreed arrangement, recovery is to proceed first against the company's assets; only if the dues remain unrecovered even after their sale may the Corporation proceed against the directors, and that step abides the outcome of the pending writ petitions (Writ-C Nos. 39095 of 2015 and 8370 of 2016). The petitioners' contentions, including the challenge to the vires of Clause 4.3(f)(v) and the s.2(15) definition of 'consumer', were expressly kept open; the Court did not decide them. ¶ 3-4

LIMITING FACTS

Recovery notice against directors of M/s Kumar Casting Pvt. Ltd. under Clause 4.3(f)(v); similar challenges pending in Writ-C Nos. 39095 of 2015 and 8370 of 2016; directors consented to recovery from the company's assets first.

PRINCIPLE TAGS

director-liability-for-company-dues-subordinate-to-company-assets

Recovery from directors under Clause 4.3(f)(v) is sequenced after recovery against the company's assets and, pending challenge, abides the outcome of the lead writ petitions.

¶ 3-4

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE VIRES OF CLAUSE 4.3(F)(V) AND WHETHER DIRECTORS FALL WITHIN 'CONSUMER' (S.2(15), ELECTRICITY ACT 2003)

Expressly kept open, to abide Writ-C Nos. 39095 of 2015 and 8370 of 2016. ¶ 3-4

Jitendra Kumar Gupta & Anr. v. State of U.P. & Ors.

Allahabad High Court (Lucknow Bench) · Division Bench · 7 February 2017 · Misc. Bench No. 2645 of 2017 · **Writ petition disposed of (subsequent purchaser liable for premises dues, subject to adjustment; 50% deposit for connection)**

HEADNOTE

Under Clause 4.3(f) of the U.P. Electricity Supply Code, 2005, the 'outstanding dues' on a premises include all electricity dues — whether arising from a valid connection or from a post-theft assessment — and are realizable from a subsequent purchaser, who must obtain a No-Dues Certificate; the fact that the theft was a personal criminal liability of the previous occupant does not exclude the assessed amount, which is a due on the premises. Recovery from the purchaser is, however, subject to adjustment against any amount recovered from the original defaulter, so there is no double recovery.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

Subsequent purchaser liable for premises dues, including a theft assessment

QUESTION

Can a subsequent purchaser be required to clear dues that include a theft assessment against the previous occupant, before a fresh connection?

HOLDING

Yes. 'Outstanding dues' under Clause 4.3(f) means all dues pending on the premises, including a post-theft assessment, and attach to the premises; the purchaser must obtain a No-Dues Certificate. The theft being a personal criminal liability of the previous occupant does not exclude the assessed civil amount. But recovery from the purchaser is subject to adjustment against any amount recovered from the original defaulter (no double recovery); here, a practical direction to deposit 50% to obtain the connection. ¶ [the Clause 4.3\(f\) discussion \(unnumbered order\)](#)

LIMITING FACTS

The petitioners bought a premises against which a theft assessment (~Rs. 2.8 lakh) stood against the former tenant; the sale deed itself recited that there was no valid connection.

PRINCIPLE TAGS

arrears-run-with-the-premises 'Outstanding dues' on a premises (including a theft assessment) attach to the premises and are recoverable from a subsequent purchaser, who must obtain a No-Dues Certificate — subject to adjustment against recovery from the original defaulter. ¶ [unnumbered order](#)

Kalawati Rana v. U.P. Power Corporation Ltd. Thru its M.D./Chairman and Another

Allahabad High Court · Division Bench · 6 March 2017 · 2017 SCC OnLine All 4594 : (2017) 3 All LJ 267 · Writ C. No. 9766 of 2017 · **Writ petition disposed of; refusal of the new connection upheld, with liberty to obtain a No-Dues Certificate on depositing the erstwhile owner's dues**

HEADNOTE

A new electricity connection to a purchaser of premises may lawfully be refused until the arrears standing against the erstwhile owner of those premises are cleared. Under the third proviso to Clause 4.1 of the U.P. Electricity Supply Code, 2005, where arrears exist on premises whose ownership has changed, a new connection is released to the new owner only on a No-Dues Certificate under Clause 4.3(f). Following the coordinate-bench decision in Pawan Jha and the Supreme Court in PVVNL v. DVS Steels and Haryana SEB v. Hanuman Rice Mills, the Court held that although past dues are not a charge on the premises and cannot be foisted on a transferee as such, the distributor may stipulate clearing the arrears as a condition of a fresh connection to the same premises; a sale-deed clause casting the dues on the seller does not bind the licensee. The refusal was upheld, with liberty to the purchaser to deposit the erstwhile owner's dues and obtain a No-Dues Certificate.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.1

New connection to a purchaser conditioned on a No-Dues Certificate for the premises' arrears

QUESTION

Can a purchaser of premises be refused a new connection for arrears standing against the erstwhile owner of those premises?

HOLDING

Yes. The third proviso to Clause 4.1 provides that where arrears exist on premises whose ownership has changed, a new connection is released to the new owner only on submission of a No-Dues Certificate under Clause 4.3(f). Consistently with PVVNL v. DVS Steels and Haryana SEB v. Hanuman Rice Mills (as applied by the coordinate bench in Pawan Jha), the distributor may stipulate clearing the premises' arrears as a condition of a fresh connection, and an inter-party sale-deed clause fixing the dues on the seller does not bind the licensee. The refusal was upheld, with liberty to deposit the erstwhile owner's dues and obtain a No-Dues Certificate. ¶ 4-12

LIMITING FACTS

Purchaser under a registered sale deed (13.12.2012) with a clause casting electricity dues on the sellers; new connection refused for the sellers' outstanding dues on the same house.

PRINCIPLE TAGS

arrears-follow-premises-not-person-fresh-connection-vs-transfer

Past dues are not a charge on the premises, but a fresh connection to a purchaser may be conditioned on clearing them via a No-Dues Certificate; the sale-deed's inter-party allocation does not bind the licensee. Lead authorities: *Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.* [SCJ-099], *Haryana State Electricity Board v. Hanuman Rice Mills, Dhanauri* [SCJ-031]. ¶ 7-11

arrears-run-with-the-premises

The third proviso to Clause 4.1 r/w Clause 4.3(f) makes a No-Dues Certificate a condition precedent to a new connection on premises carrying arrears. Lead authorities: *Smt. Pawan Jha @ Priya Jha v. State of U.P.* [SCJ-125]. ¶ 5-10

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.</i> (2009) 1 SCC 210 : AIR 2009 SC 647 [SCJ-099] Supreme Court	Past electricity dues are not a charge on the premises and cannot be recovered from a transferee as such, but when the purchaser seeks a fresh connection to the same premises the distributor may stipulate clearing the arrears as a condition of supply; such a stipulation is not unreasonable or arbitrary.	Applied (via the coordinate-bench decision in Pawan Jha) to uphold the refusal pending a No-Dues Certificate. ¶ 7-10	Respondent	Applied
<i>Haryana State Electricity Board v. Hanuman Rice Mills, Dhanauri</i> (2010) 9 SCC 145 : AIR 2010 SC 3835 [SCJ-031] Supreme Court	Electricity arrears are not a charge on the property, but where statutory rules or statutory terms and conditions of supply authorise it, the supplier may demand the previous owner's arrears from a purchaser claiming a fresh/re-connection.	Applied; the U.P. Code (unlike the position in Haryana) contains express rules enabling recovery, so the refusal was justified. ¶ 8-10	Respondent	Applied
<i>Smt. Pawan Jha @ Priya Jha v. State of U.P.</i> (2011) 5 All WC 5176 [SCJ-125] Allahabad High Court (Division Bench)	There is no basic difference between a private sale and a development-authority allotment for arrears purposes; applying DVS Steels and Hanuman Rice Mills, the licensee may insist on clearance of the premises' arrears before a fresh connection.	Followed as a binding coordinate-bench interpretation of Clause 4.1/4.3(f). ¶ 7-10	Court	Followed

SCJ-248 · Kalawati Rana v. U.P. Power Corporation Ltd. Thru its M.D./Chairman and Another · 2017 SCC OnLine All 4594 : (2017) 3 All LJ 267 · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Smt. Beena Dubey v. M.D. Kanpur Electricity Supply Co. Ltd. & 4 Others

Allahabad High Court · Division Bench · 21 September 2017 · WRIT - C No. 42074 of 2017 · **Writ petition disposed of; recovery proceedings against the landlord-petitioner upheld, with liberty to seek redressal/pursue the tenant**

HEADNOTE

Under Clause 4.3(f)(vi) of the U.P. Electricity Supply Code, 2005, where an electricity connection is given to a tenant with the landlord's consent, the landlord's liability for clearing all electricity arrears/dues becomes co-extensive with the tenant's before the tenant vacates the premises — even though the landlord never directly gave consent or an undertaking of liability to the Electricity Department, a tenancy agreement clause (permitting the tenant to obtain the connection and bear its charges) suffices as the owner's consent under Clause 4.4(a)(vi) for the connection to be given in the first place, and Clause 4.3(f)(vi) then independently imposes co-extensive liability on the landlord for clearing dues before the tenant's departure. Recovery from the landlord is accordingly lawful, without prejudice to the landlord's remedies (civil recovery, cheque-dishonour prosecution under s.138 Negotiable Instruments Act, or the licensee's own action) against the defaulting tenant, and without prejudice to the landlord seeking installment or other relief available under the Supply Code.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)(vi)

A landlord's liability for a tenant's electricity dues becomes co-extensive under Clause 4.3(f)(vi) once the connection was given with the landlord's consent (which may be evidenced by a tenancy-agreement clause, even absent a direct undertaking to the licensee), requiring the landlord to clear arrears before the tenant vacates

QUESTION

Can electricity dues, accrued on a connection held in a departed tenant's name, be recovered from the landlord-owner of the premises, where the landlord never directly gave the Electricity Department any consent or undertaking of liability, but the tenancy agreement itself contemplated the tenant obtaining the connection and bearing the charges?

HOLDING

Yes. Clause 4.4(a)(vi) requires the owner's consent for a new connection; here such consent, while not directly endorsed to the Electricity Department, is evidenced by Clause 5 of the tenancy agreement between the landlord and tenant contemplating the tenant obtaining the connection in his own name and bearing its charges — the landlord accordingly did not object to (and effectively agreed to) the connection. Separately and independently, Clause 4.3(f)(vi) makes the landlord's liability co-extensive with the tenant's for clearing all electricity arrears/dues before the tenant vacates the premises — a liability arising from the Supply Code itself, not from any direct undertaking to the Department. Since the tenant had already vacated without clearing dues, recovery from the landlord was lawful and the recovery proceedings were not quashed, though the landlord retains recourse against the tenant (civil suit, s.138 Negotiable Instruments Act prosecution over a dishonoured cheque, or the licensee's own separate action against the tenant) and may seek installment or other relief available under the Code. ¶ [unnumbered order \(full text\)](#)

LIMITING FACTS

The petitioner, landlord of the premises, let it to respondent no. 5, who obtained an electricity connection in his own name per Clause 5 of their tenancy agreement (making the tenant responsible for the connection and its charges); the tenant vacated leaving dues unpaid (including a dishonoured cheque tendered towards the dues), and recovery proceedings (22.8.2017) were initiated against the landlord.

PRINCIPLE TAGS

[clause-4.3-f-vi-landlord-co-extensive-liability-for-tenant-dues](#)

A landlord's liability for a departed tenant's electricity dues is co-extensive under Clause 4.3(f)(vi), triggered once the connection was given with the landlord's consent (which a tenancy-agreement clause can itself evidence); this reinforces and extends this corpus's arrears/occupant-liability cluster (SCJ-090, SCJ-098) into the landlord-tenant context. ¶ [unnumbered order](#)

NOT DECIDED — NEGATIVE AUTHORITY

SCJ-124 · Smt. Beena Dubey v. M.D. Kanpur Electricity Supply Co. Ltd. & 4 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Narendra Singh Panwar v. Pashchimanchal Vidyut Vitran Nigam Ltd. & 2 Others

Allahabad High Court · Division Bench · 12 January 2023 · WRIT - C No. 26355 of 2022 · **Writ petition dismissed; recovery notice against the Director not quashed**

HEADNOTE

Approval of a resolution plan under Section 31 of the Insolvency and Bankruptcy Code, 2016 and consequent discharge/liquidation of a defaulter consumer-company (the Corporate Debtor) does not ipso facto extinguish the personal liability of its Director who has furnished an independent personal guarantee/undertaking for the company's electricity dues — the moratorium under Section 14 IBC applies only to the Corporate Debtor's own assets and proceedings, not to a personal guarantor, whose liability is co-extensive with the principal debtor's under Section 128 of the Indian Contract Act, 1872 and survives the discharge of the principal debtor by operation of law. Clauses 4.3(f)(v) and 6.15 of the U.P. Electricity Supply Code, 2005 empower the licensee to proceed against a company's Directors for recovery of the company's electricity dues as arrears of land revenue under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958; a challenge to the vires of Clause 4.3(f)(v) (on the ground that a Director does not fall within the s.2(15) 'consumer' definition) cannot be entertained where no foundation for the vires challenge was laid in the writ petition itself.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)(v)

Approval of a CIRP resolution plan and liquidation of the defaulter consumer-company does not extinguish a Director's independent personal-guarantor liability for the company's electricity dues; recovery against the Director under Clause 4.3(f)(v)/6.15 survives

QUESTION

Does the approval of a resolution plan under s.31 IBC (and subsequent liquidation) discharging the Corporate Debtor (the defaulter consumer-company) of its electricity dues also discharge a Director who furnished a personal undertaking/guarantee for those dues, given the s.14 IBC moratorium and s.238 IBC's overriding effect?

HOLDING

No. The s.14 IBC moratorium, on its plain text, applies only to the Corporate Debtor and its own assets/proceedings — it has no application to a personal guarantor (*State Bank of India v. V. Ramakrishnan*). Approval of a resolution plan under s.31 IBC does not ipso facto discharge a personal guarantor's independent, co-extensive liability under s.128 of the Contract Act (*Lalit Kumar Jain v. Union of India*); the release of the principal debtor by an involuntary process such as insolvency/liquidation does not absolve the guarantor. Since one of the Company's Directors had furnished a notarized undertaking/affidavit with the application for supply, undertaking to be liable for the Company's dues, and Clauses 4.3(f)(v)/6.15 of the Supply Code empower recovery against Directors as arrears of land revenue under the 1958 Dues Recovery Act, the demand notice against the Directors jointly was not vitiated merely by the Corporate Debtor's insolvency/liquidation. The vires challenge to Clause 4.3(f)(v) was not entertained for want of foundation in the pleadings. Writ petition dismissed. ¶ paras 23-49

LIMITING FACTS

M/s Trimurti Concast Pvt. Ltd. (the consumer company) went into CIRP; NCLT Allahabad approved a resolution plan (22.3.2022) recognising the licensee (PVVNL) as an Operational Creditor for a partial claim; the licensee nonetheless issued a joint demand notice dated 30.6.2022 against both Directors under ss.3/5 of the 1958 Dues Recovery Act for the company's outstanding electricity dues (~Rs. 9 crore), of which the petitioner (one of two Directors) challenged the notice; the other, signatory Director had filed a notarized undertaking of personal liability with the original supply application.

PRINCIPLE TAGS

ibc-moratorium-does-not-cover-personal-guarantor-directors The s.14 IBC moratorium and a resolution plan's discharge of the Corporate Debtor do not extinguish a Director's independent personal-guarantor liability for the company's electricity dues under Clause 4.3(f)(v)/6.15 of the Supply Code — a distinct sub-doctrine within this corpus's IBC/electricity-arrears cluster

(cf. SCJ-054 Dharti Agro Industries, where IBC s.238 barred recovery from the licensee itself post-liquidation; SCJ-063's PVVNL v. Raman Ispat line on arrears running with premises/against the Corporate Debtor). Here the qualification cuts the other way: IBC discharge of the Corporate Debtor does not reach a Director's separate, co-extensive personal guarantee. Lead authorities: *State Bank of India v. V. Ramakrishnan* [163084985], *Lalit Kumar Jain v. Union of India* [33418694], *Laxmi Pat Surana v. Union of India* [12052125]. ¶ paras 33-49

vires-challenge-requires-pleaded-foundation A challenge to the vires of a Supply Code clause (here Clause 4.3(f)(v), on the ground Directors fall outside the s.2(15) 'consumer' definition) cannot be entertained where raised only in oral rejoinder submissions without any foundation laid in the writ petition itself. ¶ para 47

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — VIRES OF CLAUSE 4.3(F)(V) OF THE ELECTRICITY SUPPLY CODE, 2005 (DIRECTOR LIABILITY PROVISION) VIS-A-VIS S.2(15) ELECTRICITY ACT, 2003'S 'CONSUMER' DEFINITION

Not decided here for want of pleaded foundation; noted as separately pending in *Izharul Hauque v. State of U.P.* (Writ C No. 8370 of 2016), where an interim order dated 24.2.2016 had been passed. ¶ para 47

NOT DECIDED — EXTENT/NATURE OF THE SIGNATORY DIRECTOR'S (ASHOK SHARMA'S) PERSONAL-GUARANTEE LIABILITY UNDER HIS NOTARIZED UNDERTAKING

Expressly left open, as that Director was not a party to the present petition. ¶ para 46

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>State Bank of India v. V. Ramakrishnan & Anr.</i> (2018) 17 SCC 394 [163084985] Supreme Court	The s.14 IBC moratorium applies only to the Corporate Debtor and its own assets/proceedings, not to a personal guarantor of the Corporate Debtor; a plain reading of s.14 conspicuously omits any mention of the personal guarantor.	Applied as the governing precedent to hold that the s.14 moratorium does not shield the Director-guarantor from recovery.	Respondent	Followed
<i>Lalit Kumar Jain v. Union of India & Ors.</i> (2021) 9 SCC 321 [33418694] Supreme Court	Approval of a resolution plan under s.31 IBC does not ipso facto discharge a personal guarantor of a Corporate Debtor of liability under the contract of guarantee; release of the principal borrower by an involuntary process (insolvency/liquidation) does not absolve the guarantor, whose liability arises from an independent contract.	Applied as the leading authority for rejecting the discharge argument; extent of liability held to depend on the guarantee's own terms.	Respondent	Followed
<i>Laxmi Pat Surana v. Union of India & Anr.</i> (2021) 8 SCC 481 [12052125] Supreme Court	IBC is a complete, beneficiary code intended to rehabilitate the Corporate Debtor, not merely a money-recovery statute; a Corporate Debtor's guarantor liability is coextensive and coterminous with the principal borrower's obligation under s.128 of the Contract Act.	Cited for the general character of the IBC and the coextensive nature of guarantor liability.	Court	Followed
<i>Indian Overseas Bank v. RCM Infrastructure Ltd.</i> AIR Online 2022 SC 736 [63772460] Supreme Court	Once CIRP is initiated and a moratorium is ordered, SARFAESI Act proceedings against the Corporate Debtor cannot continue; IBC, being a later Parliamentary code, overrides inconsistent provisions of other laws under s.238.	Relied on by the petitioner for the general overriding-effect proposition, but distinguished on facts — that case concerned action against the Corporate Debtor's own assets, not a personal guarantor.	Petitioner	Distinguished
<i>Pashchimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Pvt. Ltd. & Ors.</i> (NCLT Allahabad /	Once a liquidation order is passed against a Corporate Debtor, the District Collector cannot separately recover/auction the	Relied on by the petitioner as squarely applicable, but distinguished — that ruling concerned recovery from the	Petitioner	Distinguished

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>NCLAT New Delhi</i>) Order dated 15.5.2019 [163477337] NCLT/NCLAT	Corporate Debtor's property for electricity dues under ss.173/174 of the Electricity Act, 2003, since IBC (a later Parliamentary Act) overrides; the electricity authority's remedy is to file a claim before the liquidator.	Corporate Debtor's own assets/estate, not a Director's independent personal-guarantee liability.		
<i>Raghvendra Garg v. State of U.P. & 5 Ors.</i> Writ C No. 14547 of 2016, order dated 14.9.2016 (DB) [196522538] Allahabad High Court (DB)	In the absence of a statutory provision, no recovery can be made from the personal assets of a company's director for the company's outstanding dues.	Held inapplicable on the facts, since Clause 4.3(f)(v)/6.15 of the Supply Code furnish the statutory provision authorising recovery against Directors, and (independently) a Director's own personal undertaking/guarantee grounded liability here.	Petitioner	Distinguished

SCJ-090 · Narendra Singh Panwar v. Pashchimanchal Vidyut Vitran Nigam Ltd. & 2 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Anand Kumar v. State of U.P. & 2 Others

Allahabad High Court · Division Bench · 17 February 2023 · WRIT - C No. 32847 of 2022 · **Writ petition disposed of (direction to process the tenant's connection application)**

HEADNOTE

Under the U.P. Electricity Supply Code, 2005 a 'premises' (Clause 2(ss)) is the specific portion for which a connection is sought, and a tenant is an 'occupier' (Clause 2(oo)) with a statutory right to apply for supply. The arrears-bar in the third proviso to Clause 4.1 operates only against dues on the same premises; by Clause 4.3(h) a licensee cannot refuse a new connection to an occupier of a distinct sub-premises on the ground that dues on other portions of the building are unpaid, and must instead pursue the defaulters under Clause 4.3(f)(v). A tenant may obtain a connection on an indemnity bond (Annexure 4.2, Clause 4.4) where the owner's consent is absent.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.1

Arrears-bar is premises-specific; connection to a tenant/occupier of a distinct premises

QUESTION

Can a licensee refuse a new connection to a tenant of a shop because of electricity dues outstanding against other portions of the same building?

HOLDING

No. The arrears-bar in the third proviso to Clause 4.1 applies only to dues on the same 'premises' (Clause 2(ss)); the shop is a distinct premises and the tenant is an 'occupier' (Clause 2(oo)) entitled to apply. Clause 4.3(h) forbids refusal on the ground of dues on other portions; the licensee must instead pursue the defaulters under Clause 4.3(f)(v). ¶ 11, 14, 16-18

LIMITING FACTS

No dues were specific to the shop occupied by the petitioner; the alleged dues were against other persons/portions of the building.

HOLDING-UNIT · UP-2005::4.4

Tenant's connection on an indemnity bond absent owner's consent

HOLDING

Following *Seema Mansoor*, an occupier (including a tenant) has a statutory right to supply under Sections 42-43 read with Clause 4.4; where the owner's consent is unavailable, the tenant may file an indemnity bond (Annexure 4.2) to obtain the connection. ¶ 12

PRINCIPLE TAGS

arrears-bar-is-premises-specific The bar on a new connection for arrears attaches only to the specific premises in default, not to other portions of a building. ¶ 11, 17

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — LANDLORD-TENANT RELATIONSHIP

The Court expressly declined to record any finding on the landlord-tenant relationship; the direction is only to process the connection application after hearing the owner. ¶ 19-20

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Seema Mansoor v. U.P. Power Corporation & 3</i>	An occupier (including a tenant) has a statutory right under Sections 42-	Followed and relied on to hold the tenant entitled to have the	Court	Followed

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Others</i> 2014 (6) ADJ 672 [80741415] Allahabad High Court	43 and Clause 4.4 of the Code to apply for and obtain supply; where the owner's consent is absent, the indemnity-bond route (Annexure 4.2) is available.	application processed. ¶ 12-13		

SCJ-006 · Anand Kumar v. State of U.P. & 2 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Amir Ahmad v. State of U.P. & 4 Others

Allahabad High Court · Division Bench · 16 September 2025 · 2025:AHC:164765-DB · WRIT - C No. 31054 of 2025 · **Writ petition disposed of (auction-purchaser must clear dues under Clause 4.3(f))**

HEADNOTE

An auction-purchaser of premises sold on an 'as-is-where-is' basis under the SARFAESI Act is bound by Clause 4.3(f)(i) and (viii) of the U.P. Electricity Supply Code, 2005 to ascertain and clear outstanding electricity dues on the premises before a new connection is released; a recital in the sale certificate that the property is free from encumbrances, or that the vendor did not consume electricity, does not displace the statutory charge. Following *K.C. Ninan v. Kerala State Electricity Board*, a utility may, by subordinate legislation or supply code, create a charge for arrears recoverable from a subsequent transferee — the principle of 'buyer beware' applying to the auction-purchaser.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

Liability of an auction-purchaser for arrears attaching to the premises

QUESTION

Is an auction-purchaser under SARFAESI, holding a sale certificate declaring the property free from encumbrances, liable to clear the previous owner's electricity arrears before obtaining a new connection?

HOLDING

Yes. Clause 4.3(f)(i) & (viii) place the duty to ascertain and clear outstanding dues on both seller and purchaser and permit the application to be processed only on clearance. The auction-purchaser, buying 'as-is-where-is', is fixed with 'buyer beware' and cannot escape the statutory charge by relying on the encumbrance-free recital or the vendor's non-consumption. ¶ 3, 6-7

LIMITING FACTS

SARFAESI sale certificate dated 24.4.2024 recited the property free from all encumbrances; the supply company refused a connection for arrear dues attached to the premises.

PRINCIPLE TAGS

arrears-run-with-the-premises Electricity arrears create a statutory charge on the premises recoverable from a subsequent transferee, including an auction-purchaser on an 'as-is-where-is' basis. Lead authorities: *K.C. Ninan v. Kerala State Electricity Board* [160269658]. ¶ 4, 6-7

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — QUANTUM / CORRECTNESS OF THE ARREARS

The Court did not adjudicate the amount or validity of the dues; the petitioner must comply with the Clause 4.3 process to obtain the connection. ¶ 7-8

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>K.C. Ninan v. Kerala State Electricity Board</i> (2023) 14 SCC 431 [160269658] Supreme Court	Electricity utilities can, by subordinate legislation or statutory conditions of supply, create a charge enabling recovery of electricity arrears from a subsequent transferee; recoupment of arrears protects the public good of electricity supply.	Followed and applied to hold the auction-purchaser liable to clear arrears before a new connection is released. ¶ 4, 6	Respondent	Followed

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

M/S Dharti Agro Industries Pvt. Ltd. v. The Managing Director, Pashchimanchal Vidyut Vitran Nigam Ltd. & 2 Others

Allahabad High Court · Division Bench · 18 September 2025 · 2025:AHC:166904-DB · WRIT - C No. 27040 of 2025 · **Writ petition allowed; demand order set aside; licensee directed to install the connection and recover its dues only from the Liquidator**

H E A D N O T E

Where a corporate debtor's electricity dues arose before it went into liquidation under the Insolvency and Bankruptcy Code, 2016, and the electricity licensee has already participated in the liquidation proceedings and submitted its claim to the Liquidator, Section 238 of the IBC (a later, non-obstante special enactment) overrides Sections 173-174 of the Electricity Act, 2003 and Clause 4.3(f)(iv) of the U.P. Electricity Supply Code, 2005 (which makes outstanding dues a first charge on the premises); the licensee cannot simultaneously pursue its IBC claim before the Liquidator and also withhold or condition a fresh electricity connection to the auction-purchaser of the premises on payment of the former owner's arrears. *K.C. Ninan v. Kerala SEB*, which upholds a statutory Supply Code condition making a transferee liable for a previous owner's arrears, is confined to ordinary transfers outside the IBC framework and does not apply once liquidation proceedings under the IBC have been triggered and the utility has submitted its claim; the licensee's recourse is confined to the IBC Section 53 waterfall/distribution mechanism through the Liquidator, not recovery/refusal-to-connect under the Electricity Act.

HOLDING-UNITS

INTERPLAY · ARREARS::transferee-liability

IBC Section 238 overrides the Electricity Act/Supply Code first-charge and arrears-recovery provisions where the premises were acquired via IBC liquidation and the licensee has submitted its claim to the Liquidator

QUESTION

Can an electricity licensee, having already participated in an IBC liquidation and submitted its claim for the corporate debtor's outstanding electricity dues, refuse a fresh connection to the auction-purchaser of the premises (bought 'as is where is' from the Liquidator) unless the dues are paid, relying on the first-charge/arrears-recovery provisions of the Electricity Act and Supply Code (as applied in *K.C. Ninan*)?

HOLDING

No. Section 238 of the IBC — a subsequent, non-obstante special enactment — overrides Sections 173-174 of the Electricity Act, 2003 and Clause 4.3(f)(iv) of the Supply Code (first charge on assets), following *Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat (P) Ltd.* and *Southern Power Distribution Co. of Telangana v. Gopal Agarwal*. Once the licensee has participated in the liquidation and lodged its claim, it cannot also insist on payment of the arrears as a precondition for a fresh connection to the auction-purchaser; its dues are recoverable only through the IBC Section 53 waterfall mechanism via the Liquidator, not by withholding supply. *K.C. Ninan's* holding that a Supply Code condition can make arrears run with the premises is confined to its own facts (no IBC liquidation in issue) and does not apply once the IBC framework and the licensee's own participation in it are engaged. The impugned demand/refusal order was set aside and the licensee directed to install the connection, retaining liberty to recover its dues only from the Liquidator. ¶ paras 26-48

LIMITING FACTS

The petitioner purchased the corporate debtor's (*M/s Chaudhary Ingots Pvt. Ltd.*) immovable assets 'as is where is, whatever there is' in an NCLT-directed online liquidation auction (2022), paid the full price, and obtained a sale certificate/possession letter/sale deed; the licensee refused a fresh connection unless Rs. 4,92,69,142 in the corporate debtor's outstanding electricity dues (secured, per the connection agreement, by a Clause 4.3(f)(iv) first charge) was paid, while having already lodged its claim with the Liquidator for the same dues.

PRINCIPLE TAGS

arrears-run-with-the-premises IMPORTANT QUALIFICATION: the *K.C. Ninan* arrears-run-with-premises doctrine (SCJ-037) is confined to ordinary/non-insolvency transfers; where the premises were acquired through an IBC liquidation auction and the licensee has itself submitted a claim to the Liquidator for the same dues, IBC s.238 overrides the Electricity Act/Supply Code first-charge provisions and the licensee's sole recourse is the IBC waterfall mechanism, not withholding a fresh connection. Lead authorities: *Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Private Ltd. & Ors.* [5808278], *K.C. Ninan v. Kerala State Electricity Board & Ors.* [160269658]. ¶ paras 26-45

ibc-s238-overrides-sector-statutes Section 238 of the IBC, being a later special enactment with a non-obstante clause, overrides sectoral statutes with their own non-obstante/first-charge provisions (Electricity Act ss.173-174; also applied to the Customs Act and the Tea Act in other SC rulings) once liquidation/moratorium proceedings are triggered and the sectoral authority has participated in them. Lead authorities: *Innoventive Industries Ltd. v. ICICI Bank & Anr.* [181931435]. ¶ paras 29-40

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>K.C. Ninan v. Kerala State Electricity Board & Ors.</i> 2023 SCC	Electric utilities can create a charge over premises by subordinate legislation/statutory	Distinguished/confined — held applicable only outside the IBC framework; does not govern where the utility has itself participated in and	Petitioner and Respondent (both relied on it, for opposite conclusions)	Distinguished

AUTHORITY	HOW TREATED	CITED BY	TREATMENT
OnLine SC 603 : (2023) 9 SCR 637 [160269658] Supreme Court	conditions of supply, enabling recovery of a previous owner's electricity arrears from a subsequent transferee; in general law absent such a condition, arrears do not automatically become a charge.	lodged a claim in an IBC liquidation. ¶ paras 26-27	
<i>Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Private Ltd. & Ors.</i> AIR 2023 SC 3501 [5808278] Supreme Court	In an IBC liquidation, the electricity utility is a secured creditor whose claim for arrears (secured by the Supply Code's charge) must be classified and paid per the s.53 waterfall mechanism; IBC s.238 overrides the Electricity Act/Supply Code despite their own non-obstante provisions (ss.173-174).	Followed as the central authority for the IBC-overrides-Electricity-Act holding. ¶ paras 13, 44	Petitioner Followed
<i>Southern Power Distribution Company of Telangana Ltd. v. Gopal Agarwal & Ors.</i> Civil Appeal No. 1918 of 2016 Supreme Court	An auction purchaser (per Isha Marbles) cannot be called upon to clear a past owner's arrears as a precondition for a power connection.	Relied on for the auction-purchaser protection, alongside Raman Ispat. ¶ paras 12, 44	Petitioner Followed
<i>NESCO v. Raghunath Paper Mills (P) Ltd.</i> (2012) 13 SCC 479 Supreme Court	An auction purchaser buying an official liquidator's sale 'as is where is, whatever there is' is not liable for the past owner's electricity arrears, and a request for a fresh connection cannot be rejected on that ground.	Relied on by the petitioner as a directly analogous liquidation-sale precedent. ¶ para 12	Petitioner Relied on
<i>Ahmedabad Electricity Supply Company Ltd. v. Gujarat Inns Pvt. Ltd.</i> (2004) 3 SCC 587 [28246] Supreme Court	An auction purchaser cannot be denied power supply for non-payment of arrears by the erstwhile company.	Relied on by the petitioner as foundational auction-purchaser precedent. ¶ para 11	Petitioner Relied on
<i>Tata Power Western Odisha Distribution Ltd. v. Jagannath Sponge Private Ltd.</i> Civil Appeal No. 5556 of	Following Raman Ispat, a power distribution company cannot insist on payment of the corporate debtor's arrears (to be paid per the IBC waterfall mechanism) as a	Relied on by the petitioner as a further application of Raman Ispat. ¶ para 15	Petitioner Relied on

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
2023 [183986005] Supreme Court	precondition for granting an electricity connection to the successful resolution applicant.			
<i>Innoventive Industries Ltd. v. ICICI Bank & Anr.</i> (2018) 1 SCC 407 [181931435] Supreme Court	Section 238 of the IBC, containing the widest possible non-obstante clause, ensures that no right of the corporate debtor under any other law can come in the way of the Code.	Relied on for the general primacy of IBC s.238 over conflicting sectoral statutes. ¶ paras 37, 47	Petitioner	Followed
<i>Sundaresh Bhatt, Liquidator of ABG Shipyard v. Central Board of Indirect Taxes and Customs</i> 2022 SCC OnLine SC 1101 Supreme Court	IBC prevails over the Customs Act, 1962 once moratorium is imposed; the customs authority retains only a limited jurisdiction to assess duty, not to recover by sale/confiscation.	Relied on (via Raman Ispat) as an analogous application of s.238 primacy over a sectoral statute with its own first-charge provision. ¶ paras 34, 142(within Raman Ispat)	Court	Referred
<i>Duncans Industries Ltd. v. A.J. Agrochem</i> (2019) 9 SCC 725; AIR 2019 SC 5472 Supreme Court	Section 16G of the Tea Act, 1953 (requiring prior Central Government consent for winding-up proceedings) is overridden by the IBC.	Relied on as a further analogous instance of IBC s.238 overriding a sectoral consent/priority provision. ¶ para 36	Court	Referred
<i>Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Company Ltd.</i> (2021) 21 SCC 196 Supreme Court	Explains the legislative intent behind IBC s.238's overriding effect and the finality/clean-slate assurance given to a resolution applicant.	Relied on to explain the policy rationale for s.238's primacy. ¶ para 33	Court	Referred
<i>CIT v. Monnet Ispat and Energy Ltd.</i> (2018) 18 SCC 786 [42502475] Supreme Court	Follows <i>Innoventive Industries</i> on the overriding effect of IBC s.238.	Referred as a further application of the <i>Innoventive</i> ratio. ¶ para 37	Court	Referred
<i>K. Kishan v. Vijay Nirman Company Private Limited</i> (2018) 17 SCC 662 [73508068] Supreme Court	Upholds the primacy of IBC s.238 over the Arbitration and Conciliation Act, 1996.	Referred as another instance of IBC primacy. ¶ para 38	Court	Referred
<i>M/s Uttarakhand Power Corporation Ltd. v. M/s Shyam Baba Developers & Builders Pvt.</i>	K.C. Ninan is not applicable where the electricity authority has filed a claim in liquidation proceedings.	Relied on by the petitioner and accepted by the Court to confine K.C. Ninan outside the IBC context. ¶ para 16	Petitioner	Followed

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Ltd. Company Appeal (AT) No. 346 of 2023 NCLAT				

SCJ-054 · M/S Dharti Agro Industries Pvt. Ltd. v. The Managing Director, Pashchimanchal Vidyut Vitran Nigam Ltd. & 2 Others · 2025:AHC:166904-DB · Supply Code
Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.